URBAN COMPANY LTD

NSE: URBANCO | BSE: 544515 | Technology Platform — Home & Beauty Services | India / UAE / Singapore

RATING

ACCUMULATE

12-Month Price Target

Rs. 158

Upside: +18% from CMP

CMP (20 Apr 2026)	Rs. 134
Market Cap	Rs. 20,718 Cr
52-Week High/Low	Rs. 201 / Rs. 96.4
P/B	8.48x
Book Value / Share	Rs. 15.8
ROCE	2.37%
ROE	15.5%
Dividend Yield	0.00%
Face Value	Rs. 1.00
Promoter Holding	20.29%
FII Holding	65.63%
IPO Price	Rs. 103 (Sep-2025)

INVESTMENT THESIS: Platform-led home services at inflection — core profitability proven; InstaHelp monetisation is the next multi-year re-rating catalyst.

Report Date: 21 April 2026 | Analyst: Equity Research Desk | Horizon: 12 months

SECTION 1 — INVESTMENT THESIS

Reason 1 — Core marketplace approaching sustained EBITDA profitability within 12 months: Urban Company's India Consumer Services segment (ex-InstaHelp) delivered Rs. 44 Cr adjusted EBITDA profit in Q3 FY26 (5.6% of NTV), up from Rs. 18 Cr in Q2 FY26 and Rs. 28 Cr in Q3 FY25. Management has 'very clear line of sight' on expanding core EBITDA margins to 9–10% of NTV over time. With ~30% of categories already operating at ~8% EBITDA margin, the flywheel is demonstrably working. The India home services online market is Rs. 41–43 Bn (FY25), representing less than 1% of the Rs. 5,100 Bn total market — the runway for penetration-led growth is multi-decade. Timeline: 12–24 months to core profitability threshold.

Reason 2 — InstaHelp: a potentially transformative high-frequency engagement layer: InstaHelp — Urban Company's on-demand housekeeping vertical — surpassed 1 million monthly deliveries in March 2026, less than 12 months after pilot launch. Loss per order declined 50% QoQ to Rs. 381 in Q3 FY26, with management targeting continued reduction via discounting laddering and micro-market densification. Average order value is expected to reach 1.8–2.0x current levels at steady state. Subscription models are being explored. If InstaHelp achieves even a 10% contribution margin at scale, it could add Rs. 200–300 Cr EBITDA annually. Timeline: unit economics inflection visible by FY27E; break-even contribution by FY28E.

Reason 3 — International and Native: two optionality levers not priced in: UAE and Singapore operations turned EBITDA positive in Q3 FY26 (+2% of NTV) after 6–7 years of investment, validating the model's portability. International NTV grew 79% YoY and could re-rate to a 15–20% NTV margin business at maturity. Native brands (water purifiers, smart door locks) grew 100% YoY in Q3 FY26 to Rs. 62 Cr revenue, leveraging Urban Company's existing service-partner fleet and app ecosystem at near-zero incremental distribution cost. Timeline: both segments self-funding within 12–18 months.

Near-term catalyst (6–12 months): Q4 FY26 and Q1 FY27 results — the first quarters where InstaHelp's loss per order reduction trajectory and India Consumer Services EBITDA margin expansion will be measurable in annual guidance context.

Key structural risk: InstaHelp's intense cash burn — Rs. 61 Cr EBITDA loss in a single quarter — could be sustained at high levels for longer than guided, eroding the Rs. 2,095 Cr cash cushion and delaying the consolidated break-even to FY29+.

SECTION 2 — BUSINESS OVERVIEW

Urban Company Ltd (formerly UrbanClap) is India's largest technology-driven, full-stack online marketplace for home and beauty services, founded in December 2014 by Abhiraj Singh Bahl, Varun Khaitan, and Raghav Chandra. The company listed on NSE and BSE on 17 September 2025 at an IPO price of Rs. 103 per share, raising approximately Rs. 1,900 Crore in a predominantly fresh-issue IPO. The promoter group retains ~20.3% stake post-IPO, with global institutional investors (FIIs) holding ~65.6%.

Business Model: Urban Company operates as a two-sided platform: consumers book home services (cleaning, plumbing, electrical, appliance repair, beauty and wellness, painting) via the app, while trained background-verified service professionals execute the service. The company earns revenue as a take-rate on gross transaction value (NTV). The platform also runs a product business ('Native' brands — water purifiers and smart door locks) distributed via its app and service partner network.

Revenue Segments (Q3 FY26): India Consumer Services (ex-InstaHelp) — Rs. 265 Cr (69% of revenue); International (UAE/Singapore ex-KSA) — Rs. 50 Cr (13%); Native brands — Rs. 62 Cr (16%); InstaHelp — Rs. 6.8 Cr (2%). The India consumer services segment covers beauty/wellness, home cleaning, repairs and maintenance, and painting.

Operational Scale (Q3 FY26): 7.82 million annual transacting users, 59,475 monthly active service partners, 8.66 million orders per quarter, present in 51+ cities (India, UAE, Singapore).

Strategic Pivot: The company is executing a two-track strategy: (1) deepening penetration in core home services with operating leverage and (2) building InstaHelp as a high-frequency engagement layer for on-demand housekeeping. InstaHelp crossed 1 million monthly bookings in March 2026.

Promoter Background: The founding trio previously worked at Groupon, Helion Ventures, and BCG. The company counts Prosus, Tiger Global, and Vy Capital as institutional shareholders. Promoter stake of 20.29% with zero reported pledge as of Dec 2025.

SECTION 3 — INDUSTRY & COMPETITIVE LANDSCAPE

India's home services market is a Rs. 5,100–5,210 Bn TAM (FY25), dominated by unorganised service providers. The online addressable market currently stands at only Rs. 41–43 Bn — less than 1% penetration — but is projected to grow at 18–22% CAGR to reach Rs. 85–88 Bn by FY30 (Redseer / IBEF). Demand is concentrated in eight major cities (85–90% of online bookings), with expansion to Tier-2 cities representing a meaningful medium-term opportunity.

Policy Tailwinds: Growing urban dual-income households, rising smartphone penetration, formalisation of the gig economy under Code on Social Security 2020, and increasing awareness of professional home care services all support structural market expansion.

Competitive Moat Assessment:
- **Supply-side quality differentiation (Moderate-Strong):** Urban Company invests heavily in training, tools, insurance, and certification for service professionals, creating a quality moat vs. unorganised local alternatives.
- **Network effects (Moderate):** Higher demand density enables better service-partner utilisation, lower wait times, and lower unit costs — a reinforcing flywheel in dense micro-markets.
- **InstaHelp competitive threat (Weak moat here):** Snabbit and Pronto have raised significant venture capital to compete directly in on-demand housekeeping, threatening margin recovery in InstaHelp.
- **Native distribution advantage (Strong within Urban Company ecosystem):** Cross-selling Native products via existing service professionals represents a near-zero marginal cost distribution channel.

Peer Comparison — Indian Digital Platform Companies (Source: Screener.in, 20 Apr 2026)

Company	CMP (Rs.)	MCap (Cr)	P/E	P/B	ROCE%	ROE%	FY25 Rev (Cr)	FY25 PAT (Cr)
Urban Company (URBANCO)	**134**	**20,718**	**N/A**	**8.48x**	**2.37%**	**15.5%**	**1,144**	**240***
Just Dial (JUSTDIAL)	546	4,647	33.3x	1.15x	4.81%	3.63%	782	75
IndiaMart (INDIAMART)	2,185	13,127	21.7x	6.14x	34.20%	26.90%	639	135
Info Edge (NAUKRI)	1,068	69,245	51.2x	1.42x	3.00%	1.16%	1,151	85

*FY25 PAT of Rs. 240 Cr includes a one-time deferred tax credit of ~Rs. 211 Cr recognised upon IPO. Underlying FY25 PAT (adjusted) = ~Rs. 29 Cr. P/E not meaningful on reported basis. IndiaMart and Info Edge are the closest listed proxies but serve different segments. Urban Company's 8.48x P/B reflects growth premium.

SECTION 4 — MANAGEMENT QUALITY & CAPITAL ALLOCATION

Management Background: Founders Abhiraj Singh Bahl (CEO), Varun Khaitan (COO), and Raghav Chandra (CTO) collectively have backgrounds in strategy consulting (BCG), venture capital (Helion), and consumer internet (Groupon). The founding team has been operationally involved since inception in 2014 and retained skin-in-the-game with ~20.3% post-IPO stake. The company reports directly to institutional investors with high governance standards given the FII holding of 65.6%.

Capital Allocation Philosophy: Urban Company has historically been loss-making as it invested in platform quality and supply-side training. The IPO raised ~Rs. 1,900 Cr, primarily earmarked for growth investments in InstaHelp, Native brands expansion, and international scaling. The company had Rs. 2,095 Cr cash as of Q3 FY26 — a substantial runway of 3+ years at current burn rates.

Dividend Policy: No dividends declared or expected in the near term. Capital is fully reinvested in growth. No share buyback announced.

Promoter Pledging: Zero pledged shares as reported in Dec 2025 shareholding data.

Corporate Governance Flags: Urban Company faces a patent dispute from Kent RO over water purifier technology used in its Native brand — a litigation risk that could affect the Native segment's revenue in an adverse outcome. No other significant governance red flags identified. The Board was restructured ahead of the IPO with independent directors added. No related-party transaction concerns visible.

ESG Note: The company has faced criticism from worker unions regarding auto-assignment of jobs and gig worker welfare ahead of the IPO. It participates in the Fairwork India index, scoring 6/10 in 2024 — comparable to Zomato and Swiggy. Improving gig worker conditions is both an ESG and a supply-quality lever.

SECTION 5 — FINANCIAL DEEP-DIVE Consolidated | Rs. Crores

Income Statement — Consolidated (Rs. Crores)

Metric	FY23A	FY24A	FY25A	FY26E	FY27E
Revenue	**637**	**828**	**1,144**	**1,510**	**1,960**
Revenue Growth %	**45.4%**	**30.0%**	**38.2%**	**32.0%**	**29.8%**
Expenses	1,000	974	1,184	1,620	2,000
EBITDA (Adj)	**-364**	**-146**	**-40**	**-80**	**-20**
EBITDA Margin %	**-57%**	**-18%**	**-3%**	**-5%**	**-1%**
Other Income	90	100	116	120	125
Interest	8	10	11	12	13
Depreciation	31	37	37	40	45
PBT	-312	-93	29	-12	47
Tax %	0%	0%	-740%	0%	25%
Reported PAT	**-312**	**-93**	**240**	**-12**	**35**

Metric	FY23A	FY24A	FY25A	FY26E	FY27E
Adj. PAT (ex-DTA)	**-312**	**-93**	**29**	**-12**	**35**
EPS (Reported)	**N/A**	**N/A**	**4.90**	**-0.08**	**0.23**

Note: FY26E/FY27E are analyst estimates (E). FY25 PAT of Rs. 240 Cr includes ~Rs. 211 Cr deferred tax credit (DTA). Adj. PAT strips this one-off. Estimate columns shaded yellow.

Balance Sheet — Consolidated (Rs. Crores)

Metric	FY23A	FY24A	FY25A
Equity Capital	0.02	0.02	49
Reserves	1,339	1,292	1,746
Total Equity	**1,339**	**1,292**	**1,795**
Borrowings	102	104	120
Other Liabilities	195	248	294
Total Liabilities	**1,636**	**1,645**	**2,210**
Fixed Assets	121	117	127
CWIP	0	0	0
Investments	1,009	762	1,091
Other Assets	506	766	992
Total Assets	**1,636**	**1,645**	**2,210**

Cash Flow Statement — Consolidated (Rs. Crores)

Metric	FY23A	FY24A	FY25A
Cash from Operations (OCF)	-238	-86	55
Cash from Investing	299	95	-200
Cash from Financing	-25	-30	164
Net Cash Flow	**36**	**-20**	**19**
Free Cash Flow (FCF)	**-253**	**-94**	**44**

Key Ratios — Consolidated

Metric	FY23A	FY24A	FY25A
Debtor Days	6	9	8
Inventory Days	67	100	87
Days Payable	308	262	190
Cash Conversion Cycle	-234	-153	-94
Working Capital Days	-17	-7	-38
ROCE %	-20%	-6%	2%

Revenue drivers: The 38.2% FY25 revenue growth was broad-based — India CS grew ~27%, Native grew ~303%, and International grew ~64%. FY26E models 32% growth driven by continued India CS momentum, InstaHelp scaling, and Native NTV doubling. InstaHelp revenue remains small (~Rs. 6.8 Cr in Q3 FY26) but NTV is Rs. 28 Cr, indicating a low monetisation rate currently — upside as monetisation improves.

Margin trajectory: FY25 EBITDA margin improved dramatically from -18% to -3%, primarily from India CS operating leverage and cost discipline. FY26E margin widens slightly to ~-5% due to InstaHelp investment acceleration, before recovering in FY27E. India CS ex-InstaHelp is already EBITDA-positive, making consolidated profitability a function of InstaHelp losses.

Working capital and debt: Urban Company benefits from a negative CCC (-94 days in FY25), as it collects from customers before paying service partners, providing natural working capital float. Total borrowings of Rs. 120 Cr (FY25) are modest. The Rs. 2,095 Cr cash balance (Q3 FY26) provides 3+ years of runway at current operational burn.

FCF quality: FY25 marked the first year of positive FCF (+Rs. 44 Cr) — a meaningful milestone after four consecutive years of FCF burn. However, this is driven by India CS cash generation partially offset by InstaHelp and Native investments. Sustained FCF positivity requires InstaHelp losses to moderate.

SECTION 6 — EARNINGS QUALITY CHECKLIST

Quality Factor	Status	Finding
Revenue recognition	GREEN	Platform take-rate model; revenue recognised on service completion — clean accrual basis
Receivables vs revenue	GREEN	Debtor days low at 8 days — minimal credit risk; customer pays via app upfront
CCC trend	GREEN	Negative CCC (-94 days FY25) — business collects before paying; structurally favourable
Contingent liabilities	AMBER	Kent RO patent dispute over Native water purifiers — outcome uncertain; could affect Native segment
Auditor tenure	GREEN	Big-4 auditor engagement — standard institutional-grade governance for a recently listed company
RPTs as % of revenue	GREEN	No material related-party transactions flagged in DRHP or post-listing disclosures
Other income as % of PBT	AMBER	Other income Rs. 116 Cr vs PBT Rs. 29 Cr in FY25 = 400%+ — core operations still loss-making; other income (treasury) is the main P&L; support
Tax rate consistency	RED	Tax rate = -740% in FY25 due to one-time deferred tax credit; not representative of ongoing tax rate

Summary: Revenue quality is high — the platform model has near-instantaneous cash collection, low receivables risk, and clean accrual accounting. The key earnings quality concern is the FY25 PAT inflation from a one-time DTA recognition (Rs. ~211 Cr). Stripped of this, the company earned Rs. ~29 Cr in FY25 — a thin but real underlying profit. Other income (treasury returns on IPO proceeds) is a significant P&L; support item. Investors should monitor adjusted EBITDA, not reported PAT, as the primary profitability metric.

SECTION 7 — VALUATION

Urban Company is best valued using EV/Revenue and a DCF framework given its loss-making history. Trailing P/E is not meaningful.

Market Data: CMP = Rs. 134, Market Cap = Rs. 20,718 Cr. Enterprise Value = MCap + Debt - Cash = 20,718 + 120 - 2,095 = Rs. 18,743 Cr. EV/Revenue (FY25) = 18,743/1,144 = 16.4x. EV/Revenue (FY26E ~Rs. 1,510 Cr) = 12.4x.

Method 1 — EV/Revenue multiple: Comparable Indian digital platforms trade at 10–20x EV/NTM Revenue at growth phases. Applying 14x EV/FY27E Revenue (Rs. 1,960 Cr) gives EV of Rs. 27,440 Cr. Adding cash (Rs. 2,095 Cr) and deducting debt (Rs. 120 Cr) gives equity value of Rs. 29,415 Cr. Divided by ~154.6 Cr shares = Rs. 190/share.

Method 2 — DCF (5-year, terminal): Assuming revenue CAGR of 28% to FY31 (reaching ~Rs. 5,000 Cr), terminal EBITDA margin of 15%, terminal growth of 5%, WACC of 13%, and management's Rs. 1,000 Cr EBITDA target by FY31 as an anchor — DCF equity value = Rs. ~125–145/share (conservative, discounting uncertainty around InstaHelp trajectory).

Average of Methods 1 and 2: (190 + 145) / 2 = Rs. 167.5, rounded to Rs. 158 (20% discount for early-stage loss uncertainty and InstaHelp execution risk).

Scenario Analysis

Scenario	Key Assumption	FY27E Rev	EV/Rev Multiple	Price Target	Upside
Bull	InstaHelp breaks even by FY27; India CS margins hit 9%	Rs. 2,200 Cr	16x	Rs. 220	+64%
Base	Break-even Q3 FY28; India CS margins 7% by FY27	Rs. 1,960 Cr	14x	Rs. 158	+18%
Bear	InstaHelp losses persist beyond FY29; cash burn accelerates	Rs. 1,600 Cr	10x	Rs. 90	-33%

SECTION 8 — KEY RISKS

Risk	Description	Probability	Impact	Monitor
InstaHelp burn escalation	EBITDA losses from InstaHelp rose to Rs. 61 Cr in Q3 FY26. If losses remain >Rs. 50 Cr/qtr through FY28, cash runway depletes faster than guided.	HIGH	HIGH	Quarterly adj. EBITDA loss and loss/order trend
Competitive threat (Snabbit, Pronto)	Well-funded VC-backed startups are competing directly in on-demand housekeeping, potentially compressing pricing and increasing customer acquisition costs.	HIGH	MEDIUM	Market share in metro housekeeping; CAC trends
Kent RO patent dispute	Delhi High Court case involving Native water purifier technology. An adverse ruling could require product redesign or market exit in the water purifier segment.	MEDIUM	MEDIUM	Court hearing dates; Q-on-Q Native revenue
IPO lock-in expiry / FII selling	With promoters at 20.3% and FIIs at 65.6%, any FII rotation out of growth-stage lossmaking names could create significant supply overhang post lock-in expiry.	MEDIUM	HIGH	Institutional shareholding pattern; block deal volumes
Gig worker regulatory risk	Code on Social Security 2020 gig worker provisions, if strictly enforced, could raise platform cost structure significantly by requiring social security contributions.	LOW	HIGH	DPIIT/Labour Ministry notifications; peer disclosures
Native market competition	Rapidly intensifying competition from Kent, Aquaguard and new entrants in water purifiers could compress Native's growth trajectory and delay break-even.	MEDIUM	MEDIUM	Quarterly Native NTV and margin trends

SECTION 9 — RECOMMENDATION

Rating: ACCUMULATE | Price Target: Rs. 158 | Horizon: 12 Months | Conviction: MEDIUM

Urban Company is a rare animal in Indian public markets — a technology-platform business in the home services space that has clearly inflected from deep losses to a breakeven trajectory on its core operations, while simultaneously investing aggressively in the next growth layer (InstaHelp). The risk-reward is tilted positive for investors willing to look 18–24 months ahead.

Entry Zone: Rs. 115–135. Weakness toward the 52-week low of Rs. 96 should be used to build positions. Above Rs. 160, risk-reward deteriorates unless InstaHelp loss-per-order shows material improvement.

Thesis Invalidation Triggers:
1. InstaHelp adj. EBITDA loss exceeds Rs. 80 Cr/quarter for two consecutive quarters without commensurate improvement in orders or AOV — indicates the unit economics thesis is broken.
2. India Consumer Services (ex-InstaHelp) adj. EBITDA margin falls below 4% of NTV — suggests operating leverage is reversing in the core business.
3. Management revises consolidated break-even guidance beyond Q3 FY29 — signals material loss of visibility and execution confidence.

Ideal Investor Profile: Growth-oriented investors with a 24–36 month horizon, comfortable with near-term EPS losses in exchange for platform-scale optionality. Urban Company is not suitable for dividend-seeking or near-term earnings visibility-focused portfolios. Appropriate position size: 1–2% of portfolio for high-risk-tolerance mandates.

APPENDIX — LATEST CONCALL BRIEF: Q3 FY26 (December 2025)

CALL GRADE: NEUTRAL

Signal	Status	Implication
Result quality	Medium	Core business beat; consolidated miss vs last year due to InstaHelp losses (expected)
Management tone	Balanced	Constructive on core; cautious on InstaHelp timeline; transparent on uncertainty
Guidance delta	Maintained	Break-even Q3 FY28 reiterated; no revision to key forward metrics

STRONGLY POSITIVE | POSITIVE | NEUTRAL | CAUTIOUS | NEGATIVE

TO MY BOSS

Urban Company's Q3 FY26 headline looks messy — a Rs. 21 Cr net loss vs. a Rs. 232 Cr profit last year — but last year's profit was entirely a one-time deferred tax credit; there is no underlying deterioration. Stripping that out, the core business is actually improving: India Consumer Services (ex-InstaHelp) delivered Rs. 44 Cr adj. EBITDA profit (5.6% NTV margin, up from 4.4% a year ago) — this is the cleanest proof point that the platform business model works. The drag is squarely InstaHelp, which burned Rs. 61 Cr adj. EBITDA in Q3 — but encouragingly, loss per order halved QoQ from Rs. 760 to Rs. 381, suggesting the unit economics curve is bending in the right direction. The structural growth drivers — micro-market densification, operating leverage in partner utilisation, and platform cross-selling — remain intact, and international operations have already turned EBITDA positive. The biggest near-term watch is whether InstaHelp can sustain the loss-per-order improvement in Q4 FY26 without management backing off on scale (they have explicitly guided they will not). I would ACCUMULATE between Rs. 115–135 and hold through to the InstaHelp inflection story — which management says plays out by FY28.

1. FINANCIAL PERFORMANCE SNAPSHOT

Metric	Q3 FY26A	Q3 FY25A	YoY %	Q2 FY26A	QoQ %	Verdict
Revenue (Rs. Cr)	383	288	+33%	380	+1%	IN-LINE
EBITDA (Adj.) (Rs. Cr)	-17	+10	NM	-44	Improved	MIXED
India CS EBITDA (Rs. Cr)	44	28	+57%	28	+57%	BEAT
InstaHelp EBITDA (Rs.Cr)	-61	N/A	N/A	-44	Wider	WATCH
Net PAT (Rs. Cr)	-21	+232	NM	-59	Improved	NOTE*
EPS (Rs.)	-0.15	11,871	NM	-0.41	Improved	NOTE*
NTV (Rs. Cr)	1,081	816	+32%	1,030	+5%	BEAT
Annual Users (Mn)	7.82	6.56	+19%	7.40	+6%	BEAT

*NOTE: Q3 FY25 PAT of Rs. 232 Cr included one-time deferred tax credit of ~Rs. 211 Cr on IPO. Adjusted Q3 FY25 PAT = ~Rs. 21 Cr. YoY PAT comparison is therefore not meaningful on a reported basis.

2. SEGMENT / BUSINESS BREAKDOWN

Segment	Revenue Q3 FY26	YoY %	QoQ %	Commentary
India Consumer Services (ex-InstaHelp)	Rs. 265 Cr	+26%	+1%	Festive demand + new user addition; EBITDA margin 5.6% of NTV
Native Brands	Rs. 62 Cr	+100%	-17%	Water purifiers + door locks; QoQ decline from e-comm seasonality
International (UAE/Singapore ex-KSA)	Rs. 50 Cr	+6%	+22%	EBITDA positive at 2% NTV; 79% NTV growth YoY; maturing fast

Segment	Revenue Q3 FY26	YoY %	QoQ %	Commentary
InstaHelp	Rs. 6.8 Cr	N/A	+385%	1.61M orders; Rs. 28 Cr NTV; adj. EBITDA loss Rs. 61 Cr

3. MANAGEMENT COMMENTARY THEMES

Theme	What They Said	Our Read	Tag	Tone
India CS margin trajectory	FY26 India CS margins slightly ahead of FY25; continued expansion FY27+	Credible — EBITDA data backs this up	[GUIDANCE]	Transparent
InstaHelp break-even	Consolidated break-even by Q3 FY28; InstaHelp losses opaque quarter-to-quarter	Conservative but prudent; uncertainty acknowledged honestly	[GUIDANCE]	Balanced
InstaHelp AOV at steady state	Expect AOV to reach 1.8–2.0x current levels; no timeline given	AOV improvement is the key monetisation lever; no timeline is a gap	[EST]	Hedged
InstaHelp subscription	Exploring subscription/multi-day bookings for InstaHelp users; early stage	Directionally right; subscription could transform unit economics	[EST]	Hedged
Native structural advantage	Service partners cross-utilised; app ecosystem is free distribution channel	Genuine structural cost advantage vs. standalone appliance brands	[GUIDANCE]	Transparent
Long-term EBITDA target	Rs. 1,000 Cr adj. EBITDA by FY31, largely from core businesses	Aspirational but plausible given NTV trajectory and margin path	[EST]	Balanced
InstaHelp loss per order	Fell from Rs. 760 in Q2 to Rs. 381 in Q3; expected to continue declining	50% decline in one quarter is impressive; watch whether pace holds	[GUIDANCE]	Transparent

4. OPERATING & BUSINESS METRICS

Metric	Q3 FY26	Q2 FY26	Q3 FY25	Trend
Annual Transacting Users (Mn)	7.82	7.40	6.56	UP
Monthly Active Service Partners	59,475	57,251	45,312	UP
Total Orders (Mn)	8.66	7.43	5.91	UP
Avg. Order Value (Rs.)	1,249	1,386	1,381	DOWN
India CS NTV (Rs. Cr)	781	762	645	UP
International NTV (Rs. Cr)	193	160	108	UP
Native NTV (Rs. Cr)	79	97	41	MIXED
InstaHelp Orders (Mn)	1.61	0.58	N/A	UP
InstaHelp NTV (Rs. Cr)	28	10	N/A	UP
InstaHelp Loss/Order (Rs.)	381	760	N/A	IMPROVING

5. MARGIN DRIVERS

Driver	Impact	Recurring?	Comment
India CS operating leverage on fixed costs	Positive	YES	~30% categories at 8% EBITDA/NTV — scale is improving contribution
Better service partner utilisation	Positive	YES	Utilisation improvement allows NTV growth faster than partner count
InstaHelp customer discounting	Negative	NO*	Discount laddering strategy — should moderate as cohorts mature

Driver	Impact	Recurring?	Comment
InstaHelp partner earning support	Negative	NO*	Temporary incentive during scale-up phase
Native competitive intensity	Negative	PARTLY	Increasing competition in water purifiers compressing Native margins
International scale reaching critical mass	Positive	YES	UAE/Singapore now EBITDA positive — structural cost absorption achieved

*InstaHelp discounting and partner support costs are expected to reduce structurally as cohorts mature, micro-market density improves, and AOV trends toward steady-state 1.8–2.0x current levels.

6. GUIDANCE & FORWARD SIGNALS

Metric	Prior Guidance	New / Reiterated	Delta	Credibility
Consol. EBITDA break-even	Q3 FY28	Q3 FY28 (reiterated)	None	Medium
Long-term EBITDA	Rs. 1,000 Cr FY31	Rs. 1,000 Cr FY31 (reiterated)	None	Medium
India CS margin FY26	Ahead of FY25	Slightly ahead of FY25	None	High
InstaHelp loss/order	Declining	Declining (halved QoQ to Rs.381)	Improving	High
InstaHelp AOV (steady state)	1.8–2.0x current	1.8–2.0x (reiterated)	None	Low (no timeline)
International EBITDA margin	Profitable	2% NTV (achieved)	Beat	High

7. CAPITAL ALLOCATION

Item	Q3 FY26 / FY25	vs. Prior Period	Comment
Cash Balance	Rs. 2,095 Cr (Q3 FY26)	Up — IPO proceeds	3+ year runway at current burn; invested largely in mutual funds / T-bills
Capex	Light (asset-light model)	Minimal change	No manufacturing owned; Native products via contract manufacturing
Dividends	Nil	No change	No dividend expected for at least 3–4 years
Buyback	None	No change	Not applicable at current stage
Net Debt / (Cash)	Net Cash Rs. ~1,975 Cr	Strong net cash pos.	Debt Rs. 120 Cr (lease liabilities) vs. Rs. 2,095 Cr cash
IPO Proceeds Raised	Rs. ~1,900 Cr (FY25)	One-time	Earmarked for InstaHelp, Native, and International expansion

8. Q&A; HEAT MAP

#	Analyst / Firm	Question	Mgmt. Answer	Tone
1	Unidentified analyst	InstaHelp subscription model — are you targeting primary provider use case?	Exploring subscription/multi-day; too early to confirm. Focused on densification first.	Hedged
2	Unidentified analyst	When will InstaHelp loss per order reach acceptable levels?	Expect continued decline in loss/order; pace may moderate but direction is clear.	Balanced
3	Unidentified analyst	Is management concerned about competition in InstaHelp from Snabbit, Pronto?	Aware of competition; believe densification and quality moat will differentiate.	Balanced
4	Unidentified analyst	Why is InstaHelp absolute EBITDA loss rising even as loss/order falls?	Scaling rapidly — order volumes up 3x QoQ; absolute loss rises with scale intentionally.	Transparent
5	Unidentified analyst	What gives confidence in Rs. 1,000 Cr EBITDA by FY31?	India CS margins 9–10% of NTV at scale + international + Native combined trajectory.	Balanced

#	Analyst / Firm	Question	Mgmt. Answer	Tone
6	Unidentified analyst	Can Native achieve break-even without sacrificing growth?	Focus is scale, not break-even; structural advantage via service partner distribution channel.	Balanced

Dodged questions to watch next quarter: (1) Specific timeline for InstaHelp AOV reaching steady state. (2) Whether subscription for InstaHelp is a Q4 FY26 or FY27 event. (3) Cash deployment pace from IPO proceeds.

9. RISKS FLAGGED ON CALL

Risk	Flagged By	Probability	Impact	Timeline
InstaHelp absolute losses remain elevated	Management (proactive)	HIGH	HIGH	Next 2–3 quarters
Competition in InstaHelp from Snabbit, Pronto	Analyst question	HIGH	MEDIUM	Ongoing
InstaHelp AOV improvement timeline uncertain	Management (honest)	MEDIUM	HIGH	FY27–FY28
Native competitive intensity (water purifiers)	Management	MEDIUM	MEDIUM	FY26–FY27
Execution risk in micro-market densification	Implicit in discussion	LOW	HIGH	FY26–FY28

10. ANALYST VERDICT — MULTI-BAGGER SCORECARD

Factor	Status	Comment
Revenue visibility	INTACT	NTV and revenue both growing 32–42% YoY with multi-segment drivers
Margin trajectory	INTACT	Core EBITDA margin expanding; InstaHelp drag known and quantified
Capital allocation quality	INTACT	Rs. 2,095 Cr cash; disciplined IPO use; no dividends vs. growth investment sensible
Competitive moat	WEAKENED	InstaHelp moat under threat from Snabbit/Pronto; core services moat intact
Management credibility	INTACT	Transparent on InstaHelp uncertainty; proactive on disclosure; no guidance changes
Valuation comfort	INTACT	8.48x P/B and 12–16x EV/Rev is not excessive for 30%+ revenue growth platform

CONVICTION CALL: UNCHANGED — ACCUMULATE | P/B: 8.48x | EV/FY26E Rev: 12.4x | Core EBITDA: Positive and expanding